

Kotak Mahindra Bank Ltd

KOTAKBANK

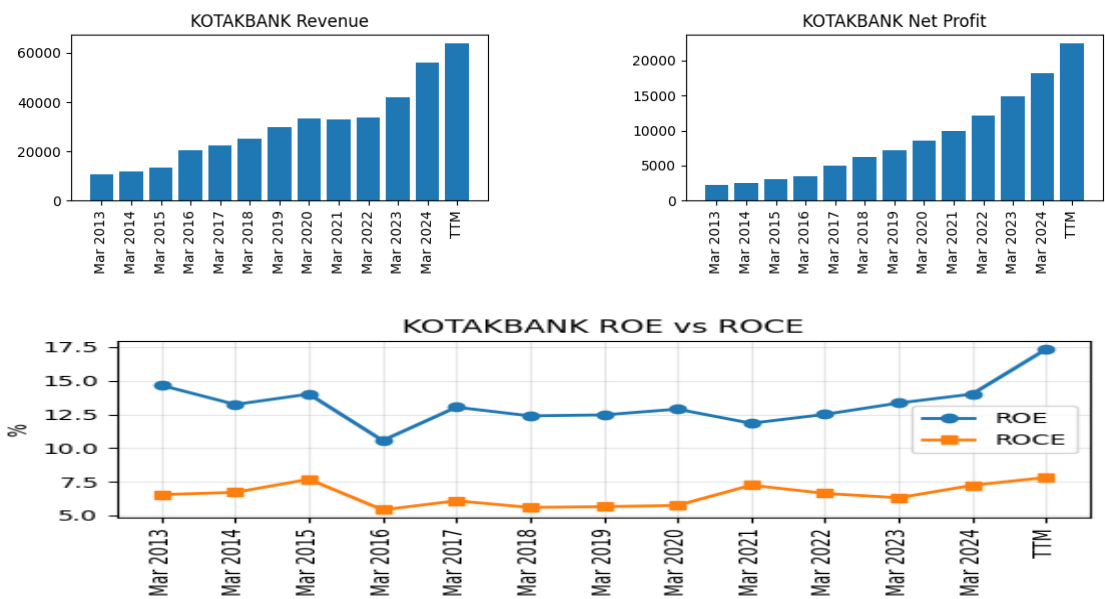
Key Financial Metrics

ROE 17.33%	ROCE 7.82%	Debt / Equity 4.00
Revenue CAGR 16.15%	FCF Conversion 86.12%	Quality Score 51.28

Company Profile

Company	Kotak Mahindra Bank Ltd
Sector	Financials
Industry	Private Banks
Market Cap (■ Cr)	430,223.52
P/E Ratio	32.90
P/B Ratio	1.15
Dividend Yield	1.51%

Financial Performance



AI Investment Summary

Kotak Mahindra Bank Ltd demonstrates average financial performance with a few areas requiring monitoring. It currently has healthy profitability, average capital efficiency, rapid revenue growth, high quality cash-flow quality and elevated leverage. The overall financial quality score is 51.3/100. Key strengths include: Return on equity improving for three consecutive years reflects strengthening business quality and capital efficiency.; Profits are compounding faster than revenue, indicating improving operating leverage and scalability.; Revenue growing at above 15% CAGR over 5 years reflects strong business momentum.. Key risks include: High leverage relative to equity can restrict future capital flexibility.; Return on capital employed below 10% indicates weak capital efficiency.; Low interest coverage indicates potential difficulty servicing debt if earnings fall.. Investment recommendation: Hold. Overall, the company appears to be financially average and requires monitoring.

Pros & Cons

Pros	Cons
• Return on equity improving for three consecutive years reflects strengthening business quality and capital efficiency. • Profits are compounding faster than revenue, indicating improving operating leverage and scalability. • Revenue growing at above 15% CAGR over 5 years reflects strong business momentum. • Operating profit margin above 25% indicates strong pricing power and cost discipline. • Net profit compounding at above 20% over 5 years creates significant shareholder value.	• High leverage relative to equity can restrict future capital flexibility. • Return on capital employed below 10% indicates weak capital efficiency. • Low interest coverage indicates potential difficulty servicing debt if earnings fall.

Investment Recommendation

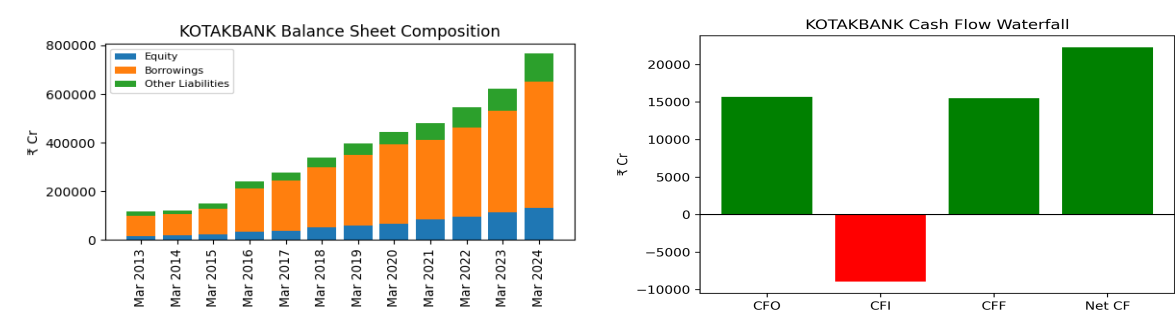
Recommendation	HOLD
Risk Level	MODERATE
Confidence	MEDIUM

Recommendation Reason:

The recommendation is based on an adjusted financial score of 53.3/100, supported by 5 identified strengths, 3 identified risks, and cash-flow quality rated as High Quality.

Adjusted Score: 53.3

Balance Sheet & Cash Flow



Financial Health

Profitability	Moderate
Growth	Strong
Cash Flow	Weak
Leverage	Weak
Valuation	Fair

Capital Allocation

Mixed